

26STCV15653 26STCV15653

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Case Number: 26STCV15653 Hearing Date: August 6, 2026 Dept: 834

Superior Court of California

County of Los Angeles

Department 834

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LOAN OAK FUND, LLC,

Plaintiff(s),

vs.

WAFFLE

PLAZA PROPERTIES, INC., et al.,

Defendant(s).

Case No.:

26STCV15653

Hearing Date:

August 6, 2026

[TENTATIVE]

ORDER RE: MOTION FOR APPOINTMENT OF RECEIVER

Loan Oak Fund, LLC ("Plaintiff") seeks appointment of Kevin

A. Singer as receiver for the following properties ("Properties"):

(a) 617

and 621 W. Manchester Blvd, Inglewood, CA 90301, APNs 4018-012-013 and 4018-012-014, owned by defendant Waffle Plaza Properties, Inc. ("Waffle Plaza");

(b) 1865

S. La Brea Ave, Los Angeles, CA 90019, APNs 5067-014-029 and 5067-017-030, owned by Waffle Plaza;

(c)

1520 N. Gower St, Los Angeles, CA 90028, APN 5545-008-041, owned by defendant Gower Properties, LLC ("Gower");

(d) 1114

W. Manchester Ave, Los Angeles, CA 90003 and 8601 S. Main St, Los Angeles, CA 90003, APNs 6040-012-005 and 6040-012-027, owned by defendant Duquesne Properties, LLC ("Duquesne");

(e) 733

E. Broadway, Long Beach, CA 90802, APNs 7281-013-014, 7281-013-016, and 7281-013-017, owned by defendant 730 Broadway, Inc. ("Broadway");

(f)

730 E. Broadway, Long Beach, CA 90802, APN 7281-021-004, owned by Broadway;

(g) 2110

S. Harbor Blvd, Anaheim CA 92802, APN 233-031-03, owned by Waffle Plaza;

(h) 2156

S. Harbor Blvd, Anaheim, CA 92802, APN 233-041-01, owned by Waffle Plaza; and

(i)

1678-94 National Avenue, San Diego, CA 92113, APN 538-040-31-00, owned by defendant Diego Plate Properties, LLC ("Diego Plate").

The motion is granted.

I.

Background

1.

Factual History

On or about July 11, 2022, Plaintiff extended a loan of \$16,500,000 ("Loan") to Waffle Plaza, Gower, Duquesne, Broadway, and Diego Plate ("Defendants") secured by a first position Deed of Trust recorded against the Properties. (Rothstein Decl., ¶¶ 2, 20-21, Exs. 16-18.) The parties executed a promissory note ("Note"), dated July 11, 2022 and Loan Agreement ("Agreement") evidencing the Loan. (Rothstein Decl., ¶ 20, Exs. 24-25.) The Deed of Trust was recorded in Los Angeles County, Orange County, and San Diego County each on July 22, 2022. (Rothstein Decl., ¶ 21, Exs. 16-18.)

The Deed of Trust assigns all rights to all rents and profits from the Properties to Plaintiff. (Rothstein Decl., ¶ 22, Exs. 16-18 at p. 4.) It further provides for appointment of receiver under Civil Code section 2938. (Rothstein Decl., ¶ 23, Exs. 16-18 at p. 13.) Finally, the Deed of Trust allows Plaintiff to accelerate all secured obligations under the Note and Agreement without notice. (Rothstein Decl., ¶ 24, Exs. 16-18 at p. 12.)

On or about May 26, 2023, July 9, 2024, January 6, 2025, January 28, 2025, the parties entered into Loan Modification Agreements extending the maturity date, changing the interest rate, and adjusting payment terms. (Rothstein Decl., ¶¶ 25-28, Exs. 26-29.) After the last modification, Defendants were required to make one \$122,375 payment on February 1, 2025 and pay the remaining balance on February 28, 2025. (Rothstein Decl., ¶ 28, Ex. 29.)

Defendants did not pay off the loan by February 28, 2025. (Rothstein Decl., ¶ 30.) On March 1, 2025, default interest began accruing at 24% per annum. (Rothstein Decl., ¶ 21, Ex. 25 at p. 3.) Defendants continued to make interest-only payments at the non-default rate. In April 2026, Defendants stopped making any payments. (Rothstein Decl., ¶ 32.)

On April 24, 2026, Plaintiff recorded Notices of Substitution of Trustee and Notices of Default and Election to Sell Under Deed of Trust.

(Rothstein Decl., ¶ 33, Ex. 20.) Defendants subsequently made a \$122,735 payment which Plaintiff accepted under a reservation of rights and proposed forbearance agreement. (Rothstein Decl., ¶ 34.) Plaintiff then rescinded the Notices of Default and Election to Sell Under Deed of Trust. (Rothstein Decl., ¶ 34, Ex. 21.)

By May 15, 2026, Defendants had not responded to the proposed forbearance agreement and the offer expired by its own terms. (Rothstein Decl., ¶ 35.) On May 18, 2026, Plaintiff recorded new Notices of Default and Election to Sell Under Deed of Trust for the Properties. (Rothstein Decl., ¶ 38, Ex. 22.)

Plaintiff contends there remains due and owing on the Loan \$20,037,777.76. (Rothstein Decl., ¶ 46.) Plaintiff further contends Properties have an outstanding tax burden of \$283,408.05. (Rothstein Decl., ¶ 36, Ex. 19.)

2.

Procedural History

Plaintiff filed its complaint on May 15, 2026. A proof of service filed May 26, 2026 shows Plaintiff served Diego with the summons and complaint by personal service on May 20, 2026. Notices and Acknowledgments of Receipt signed and filed July 16, 2026 show each of Waffle Plaza, Gower, Duquesne, and Broadway acknowledged May 21, 2026 receipt of the summons and complaint.

On May 26, 2026, Plaintiff filed an ex parte application for appointment of a receiver over the Properties. The same day, Plaintiff filed a withdrawal.

On June 2, 2026, the Court denied Plaintiff's ex parte application for appointment of a receiver for failure to make an affirmative factual showing of irreparable harm, immediate danger, or any other statutory basis for granting relief ex parte under California Rules of Court, rule 3.1202, subdivision (c). The Court denied without prejudice to Plaintiff to file a noticed motion for the same relief.

On June 15, 2026, Plaintiff filed the instant noticed motion for appointment of a receiver over the Properties. On June 17, 2026, the Court denied Plaintiff's ex parte application for an order shortening time for notice and hearing on the instant motion for failure to make an affirmative

factual showing of irreparable harm, immediate danger, or any other statutory basis for granting relief ex parte under California Rules of Court, rule 3.1202, subdivision (c). On July 27, 2026, Waffle Plaza, Duquesne, and Diego Plate (collectively, "Opponents") filed their opposition. No other defendant filed an opposition. On July 30, 2026 Plaintiff filed its reply.

II.

Evidentiary Matters

1.

Request for Judicial Notice

Plaintiff seeks judicial notice of the following exhibits: (a) Requests 1 through 5, the Statements of Information filed with the California Secretary of State for each of Waffle Plaza, Gower and its manager Hierbel Management, Inc., Duquesne, Broadway, and Diego Plate (RJN Exs. 1-5); (b) Requests 6-15, recorded grant deeds for each of the Properties and a second recorded grant deed for the Property owned by Duquesne (RJN Exs. 6-15); (c) the Deed of Trust for the Properties, recorded in Orange County, San Diego County, and Los Angeles County (RJN Exs. 16-18); (d) tax records for the first and second installment of property taxes for the Properties for 2025 and 2026 (RJN Ex. 19); (e) Notices of Default and Election to Sell Under Deed of Trust for the Properties, recorded in Los Angeles County, Orange County, and San Diego County (RJN Ex. 20); (f) Notices of Rescission of Notice of Default and Election to Sell Under Deed of Trust recorded in Los Angeles County, Orange County, and San Diego County (RJN Ex. 21); and (g) Notices of Default and Election to Sell Under Deed of Trust recorded against the Properties in Los Angeles County, Orange County, and San Diego County (RJN Ex. 22).

The requests are granted. (Evid. Code § 452(c).)

2.

Evidentiary Objections

Plaintiff objects to portions of the White Declaration. Plaintiff's objections largely go to the weight of the evidence, not its admissibility. Plaintiff objects to every portion of the declaration for lack of personal knowledge. However, the declarant testified to his own personal knowledge. A witness's personal knowledge of a matter may be shown by his own testimony. (Evid. Code § 702.) The objections are overruled, the evidence is admitted, and

the Court will assign it the proper weight.

III.

Legal Standard

The appointment of a receiver is a drastic remedy to be utilized only in “exceptional cases.” As such, a receiver should not be appointed unless absolutely essential and because no other remedy will serve its purpose. (*City & County of San Francisco v. Daley*, (1993) 16 Cal.App.4th 734, 744 [“Daley”].) Generally, a plaintiff who seeks appointment of a receiver of certain property has the burden to establish by a preponderance of the evidence that plaintiff has a joint interest with defendant in the property, that the property is in danger of being lost, removed or materially injured, and that plaintiff's right to possession is probable. (*AlhambraShumway Mines, Inc. v. Alhambra Gold Mine Corp.*, (1953) 116 Cal.App.2d 869, 873.)

IV.

Analysis

Plaintiff seeks appointment of a receiver to manage the Properties under CCP section 564, subdivisions (b)(11) and (b)(12), and Civil Code section 2938, subdivision (c), to enforce an assignment of rents provision on Defendants' default. Plaintiff also seeks a preliminary injunction in aid of the receiver.

1.

Appointment of Receiver

CCP section 564(b)(11) provides for the appointment of a receiver in actions brought by a secured lender for specific performance of an assignment of rents provision in a deed of trust. (CCP § 564(b)(11).) Civil Code section 2938(c)(1) likewise provides that, upon default of an obligation secured by assignment of leases, rents, issues, and profits, the court may appoint a receiver to collect and receive all rents, issues, and profits accrued but unpaid and uncollected. (Civ. Code § 2938(c)(1).) CCP section 564(b)(12) provides for appointment of a receiver in actions brought under Civil Code section 2938(g). (CCP § 564(b)(12).) Civil Code section 2938(g) provides that an assignee of rents who enforces the assignment under subdivision (c) in a manner other than subdivision (c)(1) appointment of receiver must pay to

preserve the property at issue until it obtains appointment of a receiver.
(Civ. Code § 2938(g).)

Plaintiff provides evidence to show Defendants entered into the Loan, including the Deed of Trust which provides for assignment of all rents to Plaintiff, with a license to Defendants to collect rents revoked upon default. (RJN Exs. 16-18 at pp. 4-5.) Defendants failed to pay the Loan by February 28, 2025, the maturity date under the final Loan Modification Agreement. (Rothstein Decl., ¶¶ 28, 30, Ex. 29.) Plaintiff has also shown that Defendants owe \$283,408.05 in overdue taxes. (Rothstein Decl., ¶ 36, Ex. 19.)

In opposition, Opponents argue primarily that a receivership is a drastic remedy which is not mandatory for the Court. Here, Opponents are correct. (Daley, *supra*, 16 Cal.App.4th at 744.)

Opponents then argue that a lesser remedy would suffice. Opponents support this position by noting it has now insured the Properties, there is no pending tax sale, Opponents are prepared to pay off the Loan through a refinance arrangement, and the Properties are not subject to waste or abandonment. (Opp. at 7.) Opponents therefore conclude that a lesser remedy such as requiring “confirmation of insurance, periodic confidential updates concerning refinancing, notice before transfers outside the ordinary course, or other measures tailored to a demonstrated risk.” (Opp. at 8-9.) This argument is not persuasive.

Opponents do not contest the existence of the Loan, the assignment of rents in the Deed of Trust, or that they are in default on the Note and Loan Agreement. (See generally Opp.) Opponents do not contest that Plaintiff has extended the maturity date for the Loan four separate times through Loan Modification Agreements, and then subsequently rescinded Notices of Default and Election to Sell Under Deed of Trust and offered a proposed forbearance agreement. (See generally Opp.) Opponents do not contest that they were overdue on property taxes by \$283,408.05, nor do they contend they have since paid the overdue taxes, but only note they are “not aware of any imminent tax sale.” (White Decl., ¶ 4.) Opponents do not declare or argue that they never allowed insurance to lapse on the Properties, but only conspicuously assert, “[t]o my knowledge, the Subject Properties are presently insured.” (White Decl., ¶ 3.) Opponents argue that they have received a letter of intent for a refinance, but have not provided the letter of intent, asserting public disclosure could impair the

transaction. [1]

(White Decl., ¶ 5.) Opponents offer the conclusory statement that “[t]here has been no abandonment, material waste, destruction of improvements, or deterioration beyond ordinary wear and tear.” (White Decl., ¶ 2.) Finally, Opponents argue they continue to make timely monthly interest payments. For this contention, Opponents cite to paragraphs 4 and 7-10 and Exhibit A to the White Declaration. (Opp. at 7.) Paragraphs 4 and 7-8 do not show this. (White Decl., ¶¶ 4, 7-8.) The White Declaration ends with paragraph 8 and has no exhibits. (See generally White Decl.)

Even assuming *arguendo* that Opponents contentions are true, despite their conclusory declarations, evasive phrasings, and lack of documentary support, the overall evidence still reflects that Opponents are unable or unwilling to keep current with the Properties’ upkeep and tax obligations. While, as the Court ruled previously, Plaintiff did not make the necessary emergency showing to obtain *ex parte* relief, the evidence here shows the Properties are indeed in danger of being lost or materially injured.

The lesser remedies are insufficient for two reasons. First, Opponents essentially ask the Court to require Opponents to make showings that the Properties are not in danger. Opponents had the opportunity to make that showing in opposition to the instant motion, and offered scant, conclusory evidence. Second, the evidence before the Court on this motion shows the Property is in danger of being lost or harmed. Reporting requirements would only keep Plaintiff and the Court apprised of when such danger becomes so imminent as to potentially require Plaintiff to seek extraordinary remedies *ex parte*. Third, foreclosure is a remedy for Plaintiff to seek satisfaction on the Loan, not to enforce its assignment of rents.[2]

Accordingly, Plaintiff has shown entitlement to appointment of a receiver.

2.

Preliminary Injunction

In determining whether to issue a preliminary injunction, the trial court considers two factors: (1) the reasonable probability that the plaintiff will prevail on the merits at trial (CCP §526(a)(1)), and (2) a balancing of the “irreparable harm” that the plaintiff is likely to sustain if

the injunction is denied as compared to the harm that the defendant is likely to suffer if the court grants a preliminary injunction. (CCP §526(a)(2); 14859 Moorpark Homeowner's Assn. v. VRT Corp. (1998) 63 Cal.App.4th 1396, 1402; Pillsbury, Madison & Sutro v. Schectman (1997) 55 Cal.App.4th 1279, 1283; Davenport v. Blue Cross of California (1997) 52 Cal.App.4th 435, 446; Abrams v. St. John's Hospital (1994) 25 Cal.App.4th 628, 636.) Thus, a preliminary injunction may not issue without some showing of potential entitlement to such relief. (Doe v. Wilson (1997) 57 Cal.App.4th 296, 304.)

Opponents' argument against a preliminary injunction is substantially identical to their argument opposing a receiver, claiming that a less intrusive remedy would suffice. (See Opp. at 8-9.) Opponent adds, however, that the injunction is essentially mandatory. A mandatory injunction is permissible when necessary to prevent irreparable harm pending adjudication; a court also has the authority to issue a preliminary injunction that mandates an affirmative act that changes the status quo in extreme cases where the right is clearly established. (See Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc. (2016) 6 Cal.App.5th 1178, 1183-1184.) Here, this is one such extreme case, because Opponents do not even contest the rights at issue. They are in default on the Loan, Note, and Loan Agreement, and the recorded Deed of Trust has an absolute assignment of rents to Plaintiff. (Rothstein Decl., ¶¶ 28, 30, Ex. 16-18 at pp. 4-5, Ex. 29.) As Opponents do not dispute the default or the assignment of rents, and thereby tacitly acknowledge Plaintiff has the right to the rents, they cannot argue they will be harmed on the basis that they will no longer receive the rents. (See Opp. at 8.) Plaintiff therefore has shown a likelihood of success on the merits, and the balance of harms favors Plaintiff.

Accordingly, Plaintiff is entitled to a preliminary injunction in aid of receiver.

3.

Bonds

Pursuant to CCP section 567(b), a receiver (unless a public entity or officer) must file an undertaking in an amount to be set by the Court to ensure faithful performance of the receiver's duties.

In setting the bond for preliminary injunction, the court must assume that the preliminary injunction was wrongly issued. (Abba Rubber

Co. v. Seaquist (1991) 235 Cal.App.3d 1, 15.) The attorney fees necessary to successfully procure a final decision dissolving the injunction also are damages that should be included in setting the bond. (Id. at 15-16.)

While Abba reasoned that the plaintiff's likelihood of prevailing is irrelevant to setting the bond, a more recent case disagreed, stating that the greater the likelihood of the plaintiff prevailing, the less likely the preliminary injunction will have been wrongly issued, and that is a relevant factor for setting the bond. (Oiyee v. Fox (2012) 211 Cal.App.4th 1036, 1062.)

The parties did not address the issue of either the receiver's bond or the bond for preliminary injunction. Accordingly, the Court will hear from the parties at the hearing regarding the appropriate amount of the respective bonds.

V.

Conclusion

The motion for appointment of receiver is GRANTED. Kevin A. Singer is appointed as Receiver for the Properties. A preliminary injunction will issue in aid of receiver.

Receiver shall post a bond in the amount of _____. Petitioner shall post a bond in the amount of _____.

Plaintiff is directed to submit a proposed receivership order on form RC-310 within two court days that substantially complies with this order.[3] A receivership status conference is set for October 6, 2026 at 9:30am. Plaintiff or Receiver shall file a status report (not to exceed ten pages) at least two court days before the status conference.

Date: August 6, 2026

HON. TIANA J. MURILLO

PLEASE TAKE NOTICE:

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Parties

are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.

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If

a party intends to submit on this tentative ruling, the party may send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

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Unless

all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

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If

the parties neither submit nor appear at hearing, the court may take the matter off calendar or adopt the tentative ruling as the order of the court. After the court has issued a tentative ruling, the court may prohibit the withdrawal of the matter without leave.

[1]

In reply, Plaintiff argues the purported refinance "is unsupported by any actual evidence whatsoever." (Reply at 5.) The White Declaration is evidence of the refinance. (White Decl., ¶ 5.)

[2]

Furthermore, Opponents take the position that the requested relief is a drastic remedy because "[t]he requested restrictions would transfer the practical control of Defendants' business operations to a court officer before trial, even though Plaintiff does not show that those operations are endangering the collateral." (Opp. at 8.) It is suspect, then, that Opponents suggest Plaintiff should instead seek nonjudicial foreclosure.

[3]

The RC-310 that Petitioner submitted must be corrected to include the hearing

date/time/etc. (¶ 1); the amount of Receiver's bond (¶ 3); and Petitioner's bond amount (¶ 29).